

1-5c Balance Sheet

The balance sheet in [Exhibit 9](#) reports the amounts of **NetSolutions**' assets, liabilities, and stockholders' equity as of November 30, 20Y3, in a vertical format. This form of balance sheet is commonly used and is called the

report form (A form of balance sheet with the "Liabilities" and "Stockholders' Equity" sections presented below the "Assets" section.)

The asset and liability amounts are taken from the last line of the summary of transactions in [Exhibit 6](#). The amounts for common stock, retained earnings, and total stockholders' equity are taken from the statement of stockholders' equity.

The Assets section of the balance sheet presents assets in the order that they will be converted into cash or used in operations. Cash is presented first, followed by receivables, supplies, prepaid insurance, and other assets. The assets of a more permanent nature are shown next, such as land, buildings, and equipment.

In the Liabilities section of the balance sheet in [Exhibit 9](#), accounts payable is the only liability. When there are two or more liabilities, each should be listed and the total amount of liabilities presented as follows:

Liabilities		
Accounts payable	\$12,900	
Wages payable	<u>2,570</u>	
Total liabilities		\$15,470